

Total Revenue (TR) in Perfect Competition

Simple Explanation with Example

What is Total Revenue?

- $TR = \text{Price} \times \text{Quantity Sold}$
- In perfect competition, price remains constant.

Key Features of TR under Perfect Competition

- - Firm is a price taker
- - Price stays constant
- - TR rises proportionately with quantity
- - TR curve is a straight line

Numerical Example

- Market Price = ₹10 per kg
- Quantity → TR
- 10 kg → ₹100
- 20 kg → ₹200
- 30 kg → ₹300

TR Curve

- TR curve is an upward-sloping straight line from origin.
- Because price is constant.

